

EPOE

Empirical Policy Optimization Engine

A Citizen's Guide to the Federal Budget

— and how to optimize it for what you actually value

Budget vocabulary · how Congress votes · the government–business relationship · the mathematics of a nonpartisan compromise

Written for the intelligent non-specialist. No economics degree required — only curiosity and a willingness to let arithmetic, rather than slogans, settle what can be settled by arithmetic.

Baseline: Fiscal Year 2026, current law · anchored to the Congressional Budget Office's Budget and Economic Outlook, 2026–2036 (February 2026)

What this guide covers

Before we begin: why this guide exists

Most arguments about the federal budget are conducted as contests of slogans. One side says we tax too much; another says we spend too little on the things that matter; a third says the debt will sink us. Each speaks as if the facts were obvious and only the other side's bad faith stands in the way. The result is that the most consequential document the country produces — the allocation of roughly seven and a half trillion dollars a year — is debated with less rigor than a corporate budget a thousandth its size.

This guide is built on a different premise: that **once your values are written down as numbers, most budget disagreements turn out to be about values rather than facts** — and the factual part can then be handed to mathematics. You will not be asked to adopt anyone's politics. You will be asked to state what you care about, and then to look honestly at what the arithmetic says follows from caring about those things.

Behind this guide is a working tool — the Empirical Policy Optimization Engine, or EPOE — that does exactly that. It is free, open, and runs in any web browser. But you do not need the tool to benefit from the guide. By the end you will understand: where every federal dollar comes from and goes; the vocabulary that makes budget news opaque (and why most of it is simpler than it sounds); how Congress actually votes a budget into being; the genuine, measurable relationship between the government and big business; and how a branch of mathematics called *operations research* can turn all of that into a budget tailored to your values — and, more importantly, into a **nonpartisan common ground** that people who disagree can still build on together.

HOW TO READ THIS GUIDE

Read it front to back the first time. Each part builds on the one before: vocabulary first, then the real numbers, then the machinery of Congress, then the government–business relationship, and only then the optimizer that ties it together. If you already know the basics, the table of contents lets you jump ahead. Every technical term is **defined in plain language the first time it appears**, and a glossary at the end collects them all.

Part 1 — The language of the budget, demystified

Budget news is hard to follow mostly because of jargon, not because of difficulty. A dozen terms do almost all the work. Learn these and the headlines snap into focus.

The four words that describe the whole system

Revenues (or receipts). The money the federal government takes in — overwhelmingly from taxes. In Fiscal Year 2026 this is about **\$5.6 trillion**.

Outlays. The money the government actually pays out — the proper word for "spending." In FY2026, about **\$7.4 trillion**.

Deficit. The gap in a single year when outlays exceed revenues. FY2026: roughly **\$1.8 trillion**. (The opposite, a surplus, the U.S. last saw in 2001.)

Debt held by the public. The accumulated total of all past deficits — every year's gap, summed, and still owed to investors who bought Treasury bonds. By the end of FY2026, about **\$32 trillion**, or just over **100% of the size of the entire U.S. economy**.

THE SINGLE MOST USEFUL SENTENCE IN BUDGET LITERACY

A deficit is a flow (one year's shortfall); the debt is the stock (all the shortfalls added up). Each year's deficit is poured onto the existing pile of debt. This is why a country can "reduce the deficit" and still watch its debt grow — it is adding to the pile more slowly, not shrinking it.

A "fiscal year" and what it measures

The federal **fiscal year** runs October 1 to September 30, and is named for the year it ends in — "FY2026" began October 1, 2025. "Current law" or **baseline** means the projection of what happens if Congress changes nothing and existing laws simply run their course. The baseline is the crucial reference point: every proposed change is measured as a departure from it.

The fifth word everyone should know but few do

Net interest. Because the government owes \$32 trillion, it pays interest on that debt — and in FY2025, for the first time in history, that interest bill crossed **\$1 trillion in a single year**. That is more than the entire defense budget. Net interest is now one of the fastest-growing parts of the budget, and it grows *automatically*, with no vote — a point we return to, because it quietly reframes the entire debt debate.

Two more terms that unlock the real arguments

Mandatory vs. discretionary spending. This distinction governs almost everything about how budget fights actually work, so it is worth a moment.

- **Mandatory spending** (about \$4.5T, or roughly 60% of outlays) is set by standing law — Social Security, Medicare, Medicaid, and similar programs pay out to anyone who qualifies, automatically, without an annual vote. Changing it requires changing the underlying law, which is politically heavy and slow.

- **Discretionary spending** (about \$1.9T) is the part Congress sets fresh each year through *appropriations* — defense, education, national parks, scientific research, transportation. It is called "discretionary" because Congress has discretion over it annually, but it is now the *minority* of the budget.

Tax expenditures — the hidden budget. Here is a concept that, once seen, cannot be unseen. A **tax expenditure** is a special carve-out in the tax code — a deduction, exclusion, or preferential rate — that lets certain people or activities pay less. Economically it is identical to a spending program (the government forgoes money it would otherwise collect and directs it toward a favored purpose), but it never appears on the spending side of the ledger and is rarely voted on. The Joint Committee on Taxation estimates these total **about \$2.3 trillion in FY2026 — roughly 44% of all federal revenue, and more than all discretionary spending combined.** We will see why this matters enormously.

QUICK-REFERENCE: THE CORE VOCABULARY

Term	Plain meaning	FY2026 scale
Revenues / receipts	Money in, mostly taxes	~\$5.6T (FY2026)
Outlays	Money out ("spending")	~\$7.4T
Deficit	One year's shortfall (a flow)	~\$1.8T
Debt held by public	All past deficits, summed (a stock)	~\$32T (~101% of GDP)
Net interest	Interest paid on the debt	>\$1T (a first)
Mandatory spending	Automatic, set by standing law	~\$4.5T
Discretionary spending	Set yearly by appropriations	~\$1.9T
Tax expenditures	Carve-outs that act like spending	~\$2.3T
Baseline / current law	What happens if nothing changes	the reference point

Part 2 — The real numbers: every dollar in, every dollar out

Now that the words have meaning, here is the actual ledger — drawn entirely from the official, nonpartisan scorekeepers (chiefly the Congressional Budget Office and the U.S. Treasury), with each figure carrying a **confidence rating** so you can see exactly how solid the ground is under each number.

A NOTE ON INTELLECTUAL HONESTY

Throughout the underlying project, every number is tagged **HIGH** (an official published total), **MEDIUM** (an official total broken into pieces using documented methods), or **LOW** (a parameter from academic research, always given as a range). This guide carries the same discipline. A framework that hides its uncertainty is selling something; one that publishes it is teaching something.

The top line, FY2026

Quantity	FY2026	Share of GDP	Confidence
Revenues	\$5.6 trillion	17.5%	HIGH
Outlays	\$7.4 trillion	23.3%	HIGH
Deficit	~\$1.8 trillion	5.8%	HIGH
Net interest	~\$1.03 trillion	3.3%	HIGH
Debt held by the public	~\$32.1 trillion	~101%	HIGH

GDP — gross domestic product — is the total value of everything the economy produces in a year, about \$31.8 trillion. Measuring the budget as a share of GDP is how economists compare across years and countries: a \$1.8 trillion deficit means little in isolation, but "5.8% of GDP" tells you immediately that the government is spending well beyond its income.

Where the money comes from

Federal revenue is, to a first approximation, **a tax on work**. Individual income taxes (~50% of revenue) and payroll taxes (~32%) are both levied mostly on wages. The corporate income tax contributes only about 8.6% — around 1.5% of GDP, versus a mid-twentieth-century norm above 3%. Two structural facts deserve every citizen's attention, because they are arithmetic, not ideology:

1. **The effective tax code is roughly 30% smaller than the official one.** Those \$2.3 trillion in annual tax expenditures mean base-broadening — closing carve-outs — is a mathematically real third option alongside "raise rates" and "cut spending."
2. **The payroll tax stops at a cap** (about \$176,100 of wages in 2025). Earnings above that line — the fastest-growing slice of national income — contribute nothing to the Social Security trust fund. This single fact is why that fund is projected to run short in 2032, a date we will return to.

Where the money goes

The eighteen spending categories the optimizer works with are a faithful, reconciled breakdown of that \$7.4 trillion. The largest are not the ones that dominate the news:

Category (FY2026)	Approx. size	Type
Social Security (OASDI)	\$1,666B	Mandatory
Medicare	\$1,063B	Mandatory
Net interest on the debt	\$1,030B	Automatic
Medicaid & CHIP	\$700B	Mandatory
Defense	\$900B	Discretionary
Income security (SNAP, EITC, UI...)	\$460B	Mostly mandatory
Veterans	\$420B	Mixed
All other (14 smaller categories)	~\$1,550B	Mixed

THE FACT THAT REFRAMES THE WHOLE DEBATE

The four biggest line items — Social Security, Medicare, the interest bill, and Medicaid — are **either automatic or set by standing law**. The part of the budget Congress fights over every year (discretionary spending) is now the minority of the total. So when you hear that a budget showdown threatens "government shutdown," understand that the fight is over roughly a quarter of the budget; the other three-quarters keeps paying out no matter what. **The debt problem, in particular, is increasingly an interest problem** — and interest compounds. That is why acting earlier is mathematically cheaper than acting later, a theme the optimizer makes vivid.

The trajectory — why "do nothing" is not the safe choice

Under current law, the CBO projects the deficit growing from 5.8% of GDP today to 6.7% by 2036; debt held by the public reaching **120% of GDP by 2036**, surpassing the all-time record set just after World War II; and the Social Security retirement trust fund **exhausted in 2032**, at which point benefits would be cut automatically by about a fifth for every recipient. Net interest grows to 4.6% of GDP. We will see that *every* optimized budget in this framework — from the political left and the political right alike — improves on this baseline. The status quo, in the cold light of the arithmetic, is the most radical option on the table.

Part 3 — How a budget actually becomes law

To understand why the optimizer is built the way it is, you need a working picture of how Congress turns intentions into a budget. The process was largely set by the **Congressional Budget Act of 1974**, and it has a logic worth knowing.

Step 1 — The budget resolution: setting the totals

Each year (in principle) Congress passes a **concurrent budget resolution** — a blueprint that does not itself become law or get signed by the President, but sets the *totals*: how much revenue to expect, how much to spend, and how that spending is divided across about twenty broad **budget functions** (national defense, health, income security, and so on). **This is the level at which our optimizer operates** — deliberately, because it is the instrument lawmakers actually vote on first, before any line items exist.

Step 2 — Appropriations: filling in the line items

Twelve **appropriations subcommittees** then write the detailed bills that fund discretionary programs within those totals — the thousands of specific accounts. These are the bills that must be signed into law, and whose failure causes a "government shutdown." Mandatory programs (Social Security, Medicare) are *not* funded here; they flow automatically from their own standing laws.

Step 3 — Reconciliation: the powerful shortcut

Reconciliation is a special fast-track procedure that lets Congress change *mandatory* spending and *taxes* with a simple majority in the Senate, bypassing the filibuster. Because it is filibuster-proof, it has become the vehicle for the era's largest fiscal changes — the 2025 reconciliation act alone added an estimated \$4.7 trillion to ten-year deficits. Reconciliation is why a single bill can reshape the tax code and entitlement programs at once, and why so much lobbying concentrates on it.

WHY THIS MATTERS FOR THE OPTIMIZER

The optimizer's "dials" are chosen to match the instruments lawmakers genuinely control at the budget-resolution and reconciliation stage: how much to change each spending function, and how much to adjust a handful of major tax levers. It does **not** pretend to write 4,500 line items — that is the appropriations committees' job. By matching the real decision points, the model produces budgets that correspond to votes that can actually be taken.

Who keeps score

Two nonpartisan referees produce the numbers everyone argues over. The **Congressional Budget Office (CBO)** projects the budget and economy and "scores" the cost of proposed legislation. The **Joint Committee on Taxation (JCT)** scores tax changes and publishes the tax-expenditure ledger. This framework anchors itself to their published figures precisely because they are the shared scorekeepers both parties rely on — using them keeps the exercise nonpartisan at its foundation.

Part 4 — The government and big business, measured

Any honest budget framework has to reckon with a structural fact: in 2026, the federal government and large-scale private enterprise are deeply intertwined. This guide treats that entanglement **not as an accusation but as a measured constraint** — something to quantify and account for, the way an engineer accounts for the load-bearing walls of a building they are renovating. There are four channels, each measurable from disclosure systems Congress itself required.

CHANNEL 1 — THE GOVERNMENT AS THE ECONOMY'S LARGEST CUSTOMER

Federal contract obligations run on the order of **three-quarters of a trillion dollars a year**. Roughly half the ~\$900B defense budget flows to private contractors, with five firms capturing a dominant share. The practical consequence: a large defense cut is not just a policy choice — it is a regional-employment and industrial-capacity shock with real economic feedback. The model encodes this as a *floor*, not an opinion.

CHANNEL 2 — THE \$2.3 TRILLION HIDDEN BUDGET

Those tax expenditures again — \$2.3 trillion a year, about 44% of revenue, exceeding all discretionary spending combined. The three largest (pension preferences, the capital-gains rate, and the employer health-insurance exclusion) flow disproportionately to owners of capital and structurally weld American health insurance to employment. **A budget that ignores tax expenditures audits only half the ledger.**

CHANNEL 3 — PURCHASED POLICY ATTENTION

Reported federal lobbying set a record of **\$5.08 billion in 2025**, the health-care sector alone spending \$868 million. The most-lobbied issue area was, precisely, the federal budget and appropriations. This is the textbook dynamic of *concentrated benefits and diffuse costs*: a provision worth billions to one industry justifies millions in advocacy, while its few-dollars-per-citizen cost justifies no one's counter-effort. The result is a measurable tilt in whose preferences reach the drafting table. The model does not pretend this away — it encodes it as honest limits on how far each line can realistically move in one cycle.

CHANNEL 4 — PRIVATE DELIVERY OF PUBLIC PROGRAMS

About half of Medicare beneficiaries are in privately administered plans; most state Medicaid programs run through private managed-care organizations; the post-2010 individual insurance market is a regulated private marketplace. Major insurers thus draw much of their revenue *from* the federal budget. Redesigning these programs is therefore simultaneously industrial policy — which is why they cannot be changed abruptly without real-world delivery failures.

THE NEUTRAL CONCLUSION

The United States runs a **mixed political economy in which the boundary between public budget and private revenue is porous in both directions**: public dollars constitute private markets, and private resources shape public allocation. This is neither simply parasitic nor simply benign. The same channels deliver a defense industrial base, a vast claims-processing infrastructure, and the world's deepest capital markets. The optimizer therefore neither dismantles the engine nor worships it — it **constrains the search to budgets the engine can survive, then maximizes well-being inside that space**. When you run it, you will find these entanglement constraints are *active in every single scenario* — the quantitative proof that this relationship is not a talking point but a real wall every budget must slide along.

Part 5 — From values to arithmetic: how the optimizer works

Here is where everything converges. **Operations research** is the branch of applied mathematics that finds the best decision subject to real-world constraints — the same discipline that routes delivery fleets and schedules airlines. A budget is precisely this kind of problem: choose how much to spend on each thing and how much to raise from each tax, to do the most good, without breaking any rule that reality or politics imposes. Let us build the idea up gently.

The core idea: a steering wheel with 24 dials

The model's "steering wheel" has **twenty-four dials**: eighteen for spending (one per category — turn it up to expand that category, down to cut it) and six for revenue (individual income rates, corporate rates, a capital-income reform, lifting the payroll cap, a possible value-added tax, and a possible carbon price). Every possible budget is some setting of these 24 dials. The optimizer's job is to find the setting that best serves your stated values.

Stating your values: the six α -weights

This is the heart of the design. The model scores any budget on six things, and **you decide how much each one matters** by setting a weight — written with the Greek letter α ("alpha") — between 0 and 3 for each:

Weight	What it values	Turning it up...
α growth	Economic growth — a bigger overall economy	favors pro-growth tax and investment
α health	Health outcomes — lives, longevity, coverage	expands health programs
α equity	Fairness — how burdens and benefits are shared	favors progressive taxes, anti-poverty spending
α security	National security and defense capacity	protects/raises defense
α distortion	Penalty on economic drag from taxes	discourages high tax rates
α debt	Penalty on a rising debt path	forces the deficit down

THE CRUCIAL DESIGN CHOICE

All six scores are measured in **one common unit** — roughly “\$100 billion of social value.”

Because everything is in the same unit, the

Weight	What it values	Turning it up...
α-weights are pure value statements, not technical conversions. When you say “α health = 2, α growth = 1,” you are saying, in plain English, “a dollar of health benefit is worth twice a dollar of growth benefit to me.” That is a moral judgment, and it is <i>yours</i> — the model never makes it for you. This is exactly what lets people who disagree use the same tool: they share the arithmetic and differ only in the weights.		

Why the math has diminishing returns built in

The model values each program with a *concave* curve — meaning the first dollar added to a thin program buys more well-being than the millionth dollar added to an already-large one, and cutting a program hurts more than expanding it helps. This is not a thumb on the scale; it is the well-established economics of diminishing returns, and it is why the optimizer naturally seeks balance rather than pouring everything into a single favored category.

The behavioral honesty: taxes that erode

A naive model assumes raising a tax rate by some amount raises revenue by rate times base. Reality is subtler: when you raise a rate, the base shrinks — people and companies respond. The model builds this in. The corporate tax, for instance, carries an *erosion* term reflecting that mobile capital shifts profits abroad as rates rise. The beautiful consequence is that the famous **Laffer effect** — the point past which higher rates raise *less* money — **emerges from the evidence rather than being assumed**. The model can tell you where the peak is instead of being told. This same erosion term, by the way, is the mathematical fingerprint of the government–business entanglement from Part 4: mobile capital disciplining the tax code, made into an equation.

Where reality pushes back: the constraints

A budget that cannot be enacted optimizes nothing. So the search is fenced in by constraints that encode real limits:

- **Debt dynamics.** An 11-year projection of the debt, including compounding interest. (Validation worth noting: with every dial at zero, this recursion reproduces the CBO's own published debt path — 101% of GDP rising to ~120% by 2036 — to within a single percentage point, using no fitted parameters. The engine earns trust before it is asked for any.)
- **Statutory limits.** Each category can only move so far in one cycle — entitlements slowly (they require changing law), discretionary lines faster.
- **Symbiosis floors.** Defense cannot fall below an industrial-base share of GDP; the big health programs cannot contract faster than their private delivery layer can absorb. This is Part 4 made into math.
- **Capacity.** No more than ~12% of program spending can be reshuffled in one cycle — agencies and committees have finite throughput.
- **Political feasibility.** A coalition that will never enact a particular tax can switch that dial off entirely.

What the optimizer is — and is not

READ THIS TWICE

The point is **not** that the computer picks the “right” budget. No equation can resolve a genuine disagreement about values. The point is that **once values are stated as numbers, the trade-offs become arithmetic instead of rhetoric** — and anyone can change the numbers and re-run. The model's job is not to be an oracle that is always right; it is to be an instrument that is *checkably wrong in stated ways*. Every uncertain parameter is published with its confidence and its range; the places where a parameter's uncertainty would flip a conclusion are flagged explicitly. That honesty is the whole design.

Part 6 — What the arithmetic finds: five value systems, one machine

To show the tool in action, the project ran it under five deliberately different value systems — five sets of α -weights and constraints, spanning the realistic political spectrum. The same machine, five sets of values. Here is what came out.

Value system	Deficit	% GDP	Debt/GDP 2036	Character
CBO baseline (do nothing)	\$1,800B	5.7%	121%	the radical option
A • Growth & Capital	\$1,332B	4.2%	107%	limited-government
B • Social Welfare Max	\$1,548B	4.9%	111%	social-democratic
C • Nordic-Style Financing	\$1,194B	3.8%	101%	universalist
D • Deficit-First Bargain	\$1,103B	3.5%	98%	fiscal-hawk
E • Pragmatic Compromise	\$1,198B	3.8%	101%	most passable

Every optimized budget — left, right, and center — improves on the do-nothing baseline's fiscal path. That is the first finding, and it is not a partisan one.

The three findings worth a citizen's ten minutes

Finding 1 — The baseline is the radical option. Doing nothing means 121% debt-to-GDP by 2036 with interest consuming an ever-larger share, and the largest measured health-outcome gap in the developed world left untreated. Every alternative beats it on sustainability.

Finding 2 — There is a corridor of agreement. Four of the five value systems — including the fiscal hawk — *expand* public-health infrastructure, education, and science. Carbon pricing appears in every scenario allowed to use it (a tax that corrects a real mispricing is the closest thing to a free lunch the math finds). And lifting the payroll cap — which also fixes the 2032 Social Security shortfall — appears in every scenario permitted to touch it. These are not compromises that split the difference; they are places the evidence points the same way regardless of ideology.

Finding 3 — Even a debt hawk protects high-value programs. The most striking result: an optimizer told to care three times more about debt than anything else *still* expands Medicaid, public health, and education — because cutting a program whose measured value-per-dollar exceeds one is a false economy *even on hawkish terms*. Evidence, not ideology, does that.

THE NONPARTISAN PLATFORM, IN ONE SENTENCE

Three actions are supported by essentially **every** value system this engine can express — expanded public-health and child-health investment, payroll-cap reform before the 2032 deadline, and carbon pricing — and three more are budget-*improving* rather than budget-costing: health-price reform, IRS modernization (which the CBO scores as returning about \$2 for every \$1), and tax-expenditure review. A coalition that enacted only the **intersection of this list with its own values** would still leave the country measurably better served than the status quo. That intersection — visible only because the arithmetic is shared — is the common ground this whole approach exists to find.

Part 7 — Using the engine yourself

The dashboard runs the **complete model in your web browser** — nothing is simplified or precomputed. You do not need to install anything or write any code. Here is the whole workflow.

Open the dashboard and start from a preset — one of the five value systems above, or the baseline. The presets are a comfortable place to begin before you depart from them.

Set your values with the six α -weight sliders. Pull “health” up if you weight it heavily; pull “debt” up if fiscal sustainability is your priority. There is no wrong answer — these are *your* values.

Choose your constraints: a deficit ceiling, a debt-by-2036 ceiling, how politically ambitious to be, and which tax instruments you will allow on the table.

Press Solve. In a few seconds the engine searches millions of possible budgets and returns the one that best serves the values you stated, subject to every constraint. You will see the resulting outlays, revenues, deficit, the debt trajectory drawn against the CBO baseline, every category's change, and where your budget lands among the published five.

Change something and re-run. This is the real lesson. Move one weight and watch the budget shift. The places where small changes in your values produce large changes in the budget are exactly where the real disagreements live — and now you can see them precisely instead of arguing about them vaguely.

THE DEEPER INVITATION

If you doubt a number — a multiplier, a behavioral response, a value weight — the entire model is open. Every parameter sits in a documented file with its source and confidence rating. Change it, re-run, and see whether your conclusion survives. **That sensitivity is itself the finding.** A framework you can argue *with*, rather than merely argue *about*, is the point of the whole enterprise.

A closing word: arithmetic as common ground

The deepest problem in budget politics is not that people want different things — of course they do, and they always will. The problem is that we argue about *facts* when we are really disagreeing about *values*, and we argue about *values* as if they were facts. The result is a debate that cannot converge, because the two sides are not even using the same kind of claim.

This framework proposes a discipline to cut that knot. **Agree on the arithmetic; disagree, openly and honestly, about the values.** State what you care about as numbers. Let the mathematics show you faithfully what follows. And then look for the corridor — the actions that survive *every* reasonable set of values, the common ground that is invisible from inside any single ideology but obvious once the arithmetic is shared.

That corridor exists. The evidence says so. Expanding the health investments where a dollar buys the most life; securing Social Security before its deadline rather than after; pricing the carbon externality; modernizing the agencies that make every other policy actually reach people. None of these requires anyone to abandon their politics. They require only that we let the arithmetic be arithmetic — and then have the harder, more honest conversation about values, on ground we can finally share.

The federal budget as arithmetic, not rhetoric.

Appendix — Glossary of every term used

Term	Meaning
Appropriations	The annual bills that fund discretionary programs; must be signed into law. Their lapse causes a shutdown.
Baseline / current law	The projection of the budget if no laws change — the reference point all proposals are measured against.
Budget function	One of ~20 broad spending categories the budget resolution allocates totals across.
Budget resolution	Congress's yearly blueprint setting revenue and spending totals; not signed into law, but governs the rest.
CBO	Congressional Budget Office — the nonpartisan agency that projects the budget and scores legislation.
Concave utility	A value curve with diminishing returns: each added dollar buys a bit less benefit than the last.
Debt held by the public	The accumulated stock of all past deficits, owed to bondholders. ~\$32T, ~101% of GDP.
Deficit	A single year's shortfall when outlays exceed revenues. ~\$1.8T in FY2026.
Discretionary spending	The ~\$1.9T Congress sets fresh each year via appropriations (defense, education, research...).
Erosion (tax)	The shrinkage of a tax base when its rate rises, because people and firms respond. Built into the model.
Fiscal year	The federal accounting year, Oct 1–Sep 30, named for the year it ends in.
GDP	Gross domestic product — the total annual output of the economy, ~\$31.8T. The yardstick for budget figures.
JCT	Joint Committee on Taxation — scores tax changes and publishes the tax-expenditure ledger.
Laffer effect	The point past which higher tax rates raise less revenue. Here it emerges from evidence, not assumption.
Mandatory spending	The ~\$4.5T paid automatically under standing law (Social Security, Medicare, Medicaid...).
MVPF	Marginal Value of Public Funds — a research measure of social benefit per net government dollar.
Net interest	Interest paid on the national debt; crossed \$1T/year for the first time in FY2025.
Operations research	The applied mathematics of making the best decision under real-world constraints.
Outlays	The proper term for federal spending — money actually paid out. ~\$7.4T in FY2026.
Payroll cap	The wage ceiling (~\$176,100) above which earnings are not taxed for Social Security.
Reconciliation	A filibuster-proof fast track for changing taxes and mandatory spending by simple Senate majority.
Revenues / receipts	Money the government takes in, mostly taxes. ~\$5.6T in FY2026.

Term	Meaning
Symbiosis constraint	A model floor encoding that defense and major health programs cannot contract abruptly.
Tax expenditure	A tax-code carve-out that functions like spending. ~\$2.3T/year, ~44% of revenue.
α-weight (alpha)	A value weight (0–3) you set for each of six objectives, telling the model what you care about.

Where these numbers come from

Every figure in this guide traces to a nonpartisan primary source:

- [CBO, The Budget and Economic Outlook: 2026 to 2036 \(Feb 2026\)](#)
- [U.S. Treasury, Final Monthly Treasury Statement, FY2025](#)
- [Joint Committee on Taxation, Estimates of Federal Tax Expenditures \(JCX-45-25\)](#)
- [OpenSecrets federal lobbying database](#)
- [Hendren & Sprung-Keyser, “A Unified Welfare Analysis of Government Policies,” QJE 2020 \(the MVPE library\)](#)
- [Commonwealth Fund, Mirror, Mirror 2024 and U.S. Health Care from a Global Perspective 2026](#)

This guide is a companion to the EPOE repository, which contains the full model, its source code, the five detailed scenario analyses, and the ranked list of where Americans are most underserved relative to what the evidence says a dollar can buy. Everything is open for inspection, challenge, and reuse.